3. In the State Legislatures, there is a huge pendency of Audit Paras to be examined by State PACs. Some of the pending paras are 10 to 20 years old. Delay in examination of matters brought out in the Reports reduces their relevance.

4. Thousands of inspection reports containing a huge number of observations are lying unattended in the State and Union Government Departments. Many of these paras have revenue implications. There is hardly any accountability for not taking timely action on audit observations.

5. There is a feeling that the CAG's reports are sometimes not timely because there is substantial time gap between occurrence of an irregularity and its reporting by Audit. It reviews programmes after these have run for a few years. CAG's audit itself is post facto and by the time, the process of auditing and reporting is completed, its findings and recommendations may be too late for corrective action. Many transaction audit comments relate to earlier years and not to the year of the Audit Report.

6. Audit findings are based exclusively on documents and files. Many a times, the situation on the ground is quite different from what is reflected in the papers. There is practically no physical verification to supplement or validate the audit findings.

7. There is a feeling that external audit reports tend to be unduly negative and their focus is on irregularities and fault-finding. Audit does not always recognize the practical constraints under which the Government/Government Agencies function.

    1. Audit often does not discriminate between errors arising out of bonafide intentions/malafide intentions.

    2. Government Agencies are handicapped by unknown/unforeseen problems, delays beyond their control and unexpected hurdles. The auditors, on the other hand, have the benefit of hindsight. Audit as such could act as a dampner against new initiatives and risk taking.

8. Audit Reports are not always presented in a sufficiently constructive manner, as they often do not delve into the causes of the problems and how to address them.

    1. Reporting each year a large number of problems which are already known and which are not being addressed does not add value. Audit must therefore identify systemic problems.

    2. Findings are at times not focused and are in the nature of scattered observations. A macro-level view of the functioning of a department is seldom available.

    3. Audit does not give due credit for good performance.

9. The relationship between the auditor and auditee is not always harmonious. Generally, interaction is confined mainly to the lower levels.

    1. Audit is viewed as a system for policing Government Organisations. The view that audit is a valuable aid to management is normally missing.